

LIBERATE AGRI MARKETS

► While considerable progress has been made on liberating agricultural markets to ensure farmers get a fair price for their produce, states such as Bihar and Kerala are yet to adopt the model Agricultural Produce Market Committee Act (APMC Act). The number of APMC mandis also needs to increase. At present, an APMC mandi services 406 sq kms as against the recommendation of 80 sq kms. Private procurement of foodgrains and contract farming of horticulture produce also need to be encouraged.

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RAMP UP FOOD STORAGE

► Up to 6% of cereals and 12% of fruits and vegetables are lost post-harvest, a 2022 government survey found. Investment in storage facilities, including cold storages at farm gates and mandis, can reduce such losses, particularly those caused by pests and unseasonal/excessive rains. Frequent invocation of the Essential Commodities Act, an anti-inflationary measure, leads to harassment of traders and, therefore, should be used sparingly to promote investment in storage and market efficiency.



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RETHINK ETHANOL BLENDING

► India needs to find a balance between food and energy security. The 20% blending of automobile fuel can undermine India's food security as ethanol is made from farm produce. The 20% blending will require about 1,000 crore litres ethanol annually, which is estimated to require 11-12 million tonnes grains and 275 million tonnes sugarcane. While blending can reduce fossil fuel imports, the diversion of foodgrain for ethanol production can lead to food shortages in a drought year.